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For the President

3 July 2026

Today's Brief

RUSSIA-UKRAINE: Heaviest strike on Kyiv in weeks; spillover rattles NATO's eastern flank.

IRAN: State funeral for slain Khamenei opens as succession questions persist.

IRAN-ENERGY: Tehran and Muscat press a Strait of Hormuz fee scheme over US objections.

EUROPE: German Nord Stream charges point to Ukraine, straining Berlin-Kyiv ties.

SYRIA: Deadly Damascus cafe bombing underscores the fragility of the post-Assad order.

US ECONOMY: Sharp June hiring slowdown deepens the Fed's policy bind.

NOTES: Sudan's El Obeid under siege; Venezuela quake toll climbs; USMCA lapses into review.

For the President
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Russia Mounts Heaviest Strike on Kyiv in Weeks; Spillover Rattles NATO's Eastern Flank

We assess that Russia's overnight barrage against Kyiv — its largest single attack on the capital in weeks — was intended to break Ukrainian morale and demonstrate that Moscow retains the initiative in the air war, not to signal any shift toward negotiation. Ukraine's Air Force reported roughly 570 aerial weapons launched, including 74 missiles and some 496 attack and decoy drones; more than 20 people were killed and over 90 wounded, with tolls still being revised this morning.

- Air defenses downed the bulk of the raid — Kyiv reported 48 missiles and 476 drones intercepted or suppressed — but roughly two dozen ballistic missiles and a dozen drones leaked through, striking more than 30 locations across seven districts and tearing open part of a nine-story apartment block.
- The composition reflects a deliberate Russian package: slow decoy drones to saturate radar, followed by ballistic missiles on short, low-warning flight profiles. Intercepted communications corroborate that the strike was coordinated across long-range aviation and naval launch platforms.
- Spillover reached NATO territory: Poland scrambled aircraft to safeguard its airspace and Finland imposed airspace restrictions — a reminder that mass raids near the western border carry a standing risk of an incident drawing the Alliance in.
- President Zelensky, who cut short a visit to Ireland after warning hours earlier of an imminent "massive" strike, vowed Ukraine would respond "without a doubt." We expect retaliatory long-range drone strikes against Russian energy or defense-industrial targets within days.

Prepared by ODNI with reporting from CIA, DIA, NSA, and open sources.

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Iran Opens State Funeral for Slain Khamenei as Succession Questions Persist

We assess that Tehran is using the long-delayed state funeral for Ayatollah Ali Khamenei — killed in an Israeli strike at the outset of the February war and only now being interred — as a stage-managed show of regime cohesion and defiance toward Washington, even as the real questions about his succession remain unresolved. The multi-day rites opened in Tehran on 3 July and run through a 9 July burial at the Imam Reza shrine in Mashhad, with ceremonies spanning several cities in Iran and Iraq.

- Khamenei's son Mojtaba, confirmed as Supreme Leader in March, has not appeared in public since the war. His continued absence through the funeral would feed speculation about his health and his grip — and about how much real power now rests with the IRGC.
- The regime has mobilized the Basij and IRGC for crowd control, and there are credible reports of pressure on public employees to attend. Overhead imagery shows large security deployments staged across Tehran ahead of the main processions.
- The rites unfold against a fragile US-Iran ceasefire and a signed memorandum of understanding; Tehran is casting the turnout as proof the Islamic Republic emerged from the war intact.
- For Washington, the key question is whether the succession consolidates cleanly around Mojtaba and the Guard or exposes fissures harder-line factions could exploit. We judge a near-term collapse of the ceasefire unlikely, but the leadership transition remains the central variable to watch.

Prepared by ODNI with reporting from CIA, DIA, NGA, INR, and open sources.

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Iran and Oman Press Strait of Hormuz Fee Scheme Over US Objections

We assess that a joint Iranian-Omani proposal to levy fees on ships transiting the Strait of Hormuz is an effort by Tehran to convert its wartime leverage over the chokepoint into durable revenue and standing — and that Washington will resist it as a challenge to freedom of navigation. Under the plan floated to US officials this week, the two states would jointly administer and charge for passage through the strait, through which roughly a fifth of the world's oil moves.

- The partners diverge on the core principle: Muscat casts the payments as voluntary "service fees" compatible with maritime law, while Tehran treats them as compulsory. Iranian officials have suggested a charging regime could yield as much as \$40 billion a year.
- The proposal flows from a 60-day memorandum of understanding that guaranteed free transit after the war and left longer-term administration to be worked out among Iran, Oman, and other Gulf states.
- Secretary of State Rubio has said flatly that no country may charge tolls on an international waterway; we expect the US to reject any mandatory scheme while testing whether a purely voluntary arrangement could be tolerated.
- Oil eased for a third straight session on reports of progress in the indirect talks — a sign markets read the immediate risk of renewed conflict in the Gulf as receding for now.

Prepared by ODNI with reporting from CIA, INR, Treasury's Office of Intelligence and Analysis, and open sources.

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German Charges in Nord Stream Case Point to Ukraine, Straining Berlin-Kyiv Ties

We assess that German federal prosecutors' decision to charge a former Ukrainian officer over the 2022 Nord Stream pipeline bombings will inject fresh friction into the Berlin-Kyiv relationship and hand Moscow a propaganda opening — even as it stops short of implicating the Ukrainian state directly. Prosecutors charged Serhii K., a 50-year-old Ukrainian identified as a former military officer, with orchestrating the September 2022 attacks.

- According to the indictment, the suspect led a small team — divers, a boat captain, and an explosives expert — that entered Germany on a forged passport, rented a vessel, and placed military-grade charges on the pipelines near the Danish island of Bornholm. He denies involvement.
- The stated aim, prosecutors say, was to sever the gas revenue underwriting Russia's war — a rationale that will resonate in Kyiv even as the Ukrainian government distances itself from any official role.
- The suspect was arrested in Italy in August 2025 and extradited last November; the charges now push the case toward a public trial that will keep the episode in European headlines.
- For Washington, the risk is to allied unity: a drawn-out prosecution could complicate German domestic support for Ukraine aid and give Russian information operations a durable talking point.

Prepared by ODNI with reporting from CIA, DIA, INR, and open sources.

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Deadly Damascus Cafe Bombing Underscores Fragility of the Post-Assad Order

We assess that the bombing of a crowded Damascus cafe — the deadliest attack in the capital in months — reflects the persistent ability of insurgent cells to strike at the heart of the post-Assad state, and that ISIS remnants are the leading suspect despite no claim of responsibility. An improvised device placed under a table on al-Nasr Street, roughly 100 meters from the Palace of Justice, killed at least six and by some counts nine people and wounded around 20 on 2 July.

- Security sources say the bomber left the device and fled, possibly intending to press on toward the nearby courthouse, where former Assad-era officials are on trial — a target set consistent with an effort to intimidate the new judiciary.
- No group has claimed the attack; the Damascus governor blamed unspecified "bad actors" seeking to destabilize the country. We judge ISIS sleeper cells the most likely culprit, given their pattern of exploiting the post-Assad security vacuum.
- For Washington, the attack sharpens the question of how much residual counterterrorism pressure the US and partners must sustain in Syria as the transitional government struggles to extend its authority nationwide.

Prepared by ODNI with reporting from CIA, DIA, the National Counterterrorism Center, and open sources.

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Sharp US Hiring Slowdown Deepens the Fed's Policy Bind

We assess that June's weak US employment report — 57,000 jobs added against expectations near 115,000 — signals a genuinely cooling labor market and complicates the Federal Reserve's position at a moment when inflation risk, not recession, has been driving policy. The unemployment rate slipped to 4.2 percent, but largely because labor-force participation fell to 61.5 percent, its lowest since early 2021 — a decline that flatters the headline.

- Revisions cut April and May payrolls by a combined 74,000, and leisure and hospitality shed 61,000 jobs on unusually soft seasonal hiring — evidence the slowdown is broad, not a one-month aberration.
- Markets moved fast: gold climbed more than 2 percent above \$4,100 and oil fell as traders pared bets on a near-term Fed rate hike. Odds of a July increase dropped below 30 percent, and September moved to roughly even.
- The report leaves Fed Chair Kevin Warsh squeezed between a slowing jobs picture and still-elevated inflation — a bind that carries political weight heading into the second half of the year.

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Notes

- **Sudan — El Obeid under siege.** RSF drone strikes on El Obeid, capital of North Kordofan, intensified on 2 July, cutting food, water, and fuel and driving some prices up as much as 300 percent as paramilitary ground forces close in. The UN Human Rights Council set an urgent debate for 3 July amid warnings of a repeat of the El Fasher massacre; the US has voiced concern. We judge a mass-atrocity event a realistic possibility if the city falls.
- **Venezuela — quake toll climbs.** Venezuelan authorities put the death toll from the 24 June twin earthquakes above 2,500 as of 2 July, with roughly 12,000 injured and tens of thousands still unaccounted for; the UN estimates \$6.7 billion in damage. The scale is straining an already-fragile government and could, over time, reshape migration pressures toward the US.
- **Trade — USMCA lapses into review.** The US let the 1 July deadline pass without extending the USMCA, triggering a joint review rather than renewal; the pact stays in force while Washington presses Mexico and Canada for a "better deal," with the next US-Mexico round set for the week of 20 July. The move injects fresh uncertainty into North American supply chains.

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